CASCADIA ANALYTICS

ASML Holding N.V.

Equity Research Note | ASML | 22 OCTOBER 2026

Unassailable Monopoly

ASML Holding N.V. screens as a Hold, Valuation Concerns with a $1,241.80 blended target, 20% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$1,560.54	$1,241.80	-20%	HOLD, VALUATION CONCERNS

Investment Thesis

Unassailable Monopoly. ASML holds 100% share in EUV lithography with no commercial alternative for sub-7nm patterning. Gross margin of 57.5% [10-Q Q3 FY26] reflects pricing power no peer can match. AI Capex Supercycle. Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% [8-K guid] on HBM demand. Price Demands Perfection. At $1,642 [Mkt 16-Oct-26], the market prices in 24.9% revenue CAGR, above our 18.5% bull case. Our $1,218.21 base target

- Unassailable Monopoly
- AI Capex Supercycle
- Price Demands Perfection

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The latest print

AI Capex Supercycle. Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% on HBM demand.

Price Demands Perfection. At $1,642, the market prices in 24.9% revenue CAGR, above our 18.5% bull case. Our $1,218.21 base target implies 22% downside. Exceptional business, demanding price.

€11.66B	57.5%	€4.96B	€3.29B	€12.7B	113
REVENUE (Q3)	GROSS MARGIN	NET INCOME	INSTALLED BASE MGMT	CASH & INVESTMENTS	NEW SYSTEMS SOLD

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3)	€11.66B	+55.0%	Up
Gross Margin	57.5%	+3.5 pts	Up
Net Income	€4.96B	+133%	Up
Installed Base Mgmt	€3.29B	+19% QoQ	Up
Cash & Investments	€12.7B	+68% QoQ	Up
New Systems Sold	113	+27 QoQ	Up
FCF Margin (LTM)	28.5%	n/a	Up
Net Cash	€8.93B	Cash €13.32B incl. current AFS securities, less €4.39B debt	Up

The moat

High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV)

The growth engine

Memory capex: 75% growth guided for 2026 on HBM/AI demand

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ASML Holding N.V. valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	10.5%	€73.31B	42.5%	**$1,002.06**	-36%
Base	50%	14.0%	€85.68B	45.0%	**$1,218.21**	-22%
Bull	25%	18.5%	€103.98B	47.5%	**$1,528.72**	-2%

Bear: downside case at $1,002.06 (-36%).

Base: central case at $1,218.21 (-22%).

Bull: upside case at $1,528.72 (-2%).

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The probability-blended target implies 20% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -20% from the $1,560.54 reference price.

$1,241.80
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**€44.50B**
Valuation horizon	**2026-2031**
Live WACC	**9.80%**
WACC path (Year 1 to final year)	**9.80% to 8.68%**
Terminal growth	**3.0%**
Net cash	**€8.93B**
2031 FCF (Base)	**€30.39B**
10-year Treasury yield	**5.0%**
Beta	**1.30**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $1,241.80 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 24.9%, at/above Bull (18.5%) , euphoric.

Reverse DCF sensitivity

Implied enterprise value and share price at each 6-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$133.0B	$364.89	+10%	$302.4B	$800.51	+30%	$638.8B	$1,665.57
-9%	$138.7B	$379.66	+11%	$314.5B	$831.69			
-8%	$144.7B	$395.04	+12%	$327.1B	$863.95			
-7%	$150.9B	$411.05	+13%	$340.0B	$897.32			
-6%	$157.4B	$427.71	+14%	$353.5B	$931.84			
-5%	$164.1B	$445.04	+15%	$367.3B	$967.53			
-4%	$171.2B	$463.06	+16%	$381.7B	$1,004.43			
-3%	$178.4B	$481.79	+17%	$396.5B	$1,042.55			
-2%	$186.0B	$501.25	+18%	$411.8B	$1,081.95			
-1%	$193.9B	$521.47	+19%	$427.7B	$1,122.64			
+0%	$202.0B	$542.47	+20%	$444.0B	$1,164.66			
+1%	$210.5B	$564.27	+21%	$460.9B	$1,208.05			
+2%	$219.3B	$586.89	+22%	$478.3B	$1,252.83			
+3%	$228.4B	$610.36	+23%	$496.3B	$1,299.04			
+4%	$237.9B	$634.70	+24%	$514.8B	$1,346.72			
+5%	$247.7B	$659.94	**+25%**	**$533.9B**	**$1,395.90**			
+6%	$257.9B	$686.11	+26%	$553.7B	$1,446.61			
+7%	$268.4B	$713.22	+27%	$574.0B	$1,498.90			
+8%	$279.4B	$741.31	+28%	$595.0B	$1,552.80			
+9%	$290.7B	$770.39	+29%	$616.6B	$1,608.34			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	€338.40B	—	3.0%	€8.93B	€347.33B	**$1,002.06**
Base	€413.32B	—	3.0%	€8.93B	€422.25B	**$1,218.21**
Bull	€520.95B	—	3.0%	€8.93B	€529.88B	**$1,528.72**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 78.4% of Base enterprise value (Bear 76.6%, Bull 80.3%). The terminal WACC is 8.68% in Base (Bear 8.68%, Bull 8.68%), on a terminal beta of 1.00 (Bear 1.00, Bull 1.00).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031
Bear	$1,002.06	$1,100.26	$1,170.52	$1,242.51	$1,316.13	$1,390.86	$1,465.88
Base	$1,218.21	$1,337.59	$1,431.11	$1,526.75	$1,623.84	$1,720.98	$1,816.77
Bull	$1,528.72	$1,678.53	$1,805.46	$1,935.49	$2,066.85	$2,197.06	$2,323.07

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,241.80 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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ASML Holding N.V. valuation framework

The franchise deep dive

High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV)

Memory capex: 75% growth guided for 2026 on HBM/AI demand

Installed Base Management compounding at ~50% growth

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25E	LTM
Revenue	€21.2B	€27.6B	€28.3B	€32.5B	€40.1B
Gross Margin	50.5%	51.3%	51.9%	53.0%	56.2%
Net Income	€5.6B	€7.8B	€7.6B	€9.2B	€14.1B

Valuation cross-check

P/E (fwd) 26.2x

EV/EBITDA 28x

FCF Yield ~4.4%

Multiples assume flawless execution; cash yield alone does not compensate.

AMAT 20x P/E

LRCX 22x P/E

KLAC 24x P/E

ASML commands a ~25% premium to equipment peers. Monopoly justifies part of it, not all.

Current 28x EV/EBITDA

5-Yr Avg ~20x

Trading in the top quartile of its own history, pricing in a sustained upcycle.

What to monitor

Jan 2027. Q4 FY26 Earnings (Two-Sided): Test of €14.2-15.2B guide and High-NA shipment pace.

2027-2028. High-NA Volume Ramp (Positive): 0.55 NA systems moving to volume production at TSMC/Intel.

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Ongoing. China Export Policy (Two-Sided): Further DUV restrictions would remove ~20% revenue exposure.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$18.6B	$9.8B	$6.8B	—
2022	$21.2B	$10.7B	$6.5B	$7.1B
2023	$27.6B	$14.1B	$9.0B	$10.0B
2024	$28.3B	$14.5B	$9.0B	$10.1B
2025	$32.7B	$17.3B	$11.3B	$12.6B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$30.2B	$20.1B	$10.1B	$7.0B
2022	$36.3B	$27.5B	$8.8B	$7.3B
2023	$40.0B	$26.5B	$13.5B	$7.0B
2024	$48.6B	$30.1B	$18.5B	$12.7B
2025	$50.6B	$31.0B	$19.6B	$12.9B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$10.8B	$-901M	$-9.9B	$9.9B
2022	—	$-1.3B	$-7.1B	$7.2B
2023	—	$-2.2B	$-3.0B	$3.2B
2024	—	$-2.1B	$-2.8B	$9.1B
2025	—	$-1.6B	$-8.7B	$11.0B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,241.80 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 46 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.01% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is +61.8% against CEO total pay of $4.25M (Mr. Christophe D. Fouquet), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.01% of shares held by insiders
Form 4 Flow (Conviction Flow)	18 / 30	Buys $0 (0) vs sales $0 (0), net $0, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +61.8%; Mr. Christophe D. Fouquet, President, CEO and Chair of the Board of Management, total pay $4.25M
Agency Risk Score	**46 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker (foreign private issuers file no DEF 14A), so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

China Export Controls

Tightening restrictions on DUV lithography exports threaten approximately 20% of revenue tied to Chinese fabs.

Semiconductor Cyclicality

WFE spending is inherently cyclical; a downturn in memory or logic capex would hit bookings with a 12-18 month lead time.

Customer Concentration

A handful of foundries (TSMC, Samsung, Intel) drive the majority of system sales, concentrating demand risk.

The strengths

Operating Quality

Absolute EUV monopoly with 57.5% gross margins and a net-cash balance sheet. Cyclical equipment exposure prevents a top-decile score.

Recent Trend

Record Q3: revenue up 55% YoY, margins expanding, guidance raised for the third time this year. Textbook acceleration.

Forward Growth

High-NA ramp, 75% memory growth guide, and AI capex visibility through 2030. Drivers are disclosed and measurable.

Valuation

Priced for perfection: 28x EV/EBITDA, 26x forward P/E, above 5-year multiple history. Reverse DCF implies 24.9% CAGR, above our bull case.

Cascadia scorecard

Composite score 68: Attractive. Confidence High, as of 16-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Absolute EUV monopoly with 57.5% gross margins and a net-cash balance sheet. Cyclical equipment exposure prevents a top-decile score.	88
Recent Trend	Record Q3: revenue up 55% YoY, margins expanding, guidance raised for the third time this year. Textbook acceleration.	90
Forward Growth	High-NA ramp, 75% memory growth guide, and AI capex visibility through 2030. Drivers are disclosed and measurable.	82
Valuation	Priced for perfection: 28x EV/EBITDA, 26x forward P/E, above 5-year multiple history. Reverse DCF implies 24.9% CAGR, above our bull case.	32
Catalysts & Risk	Q4 print and High-NA shipments are near-term positives; China export controls and multiple compression are live risks. Balanced skew.	55

Investment view

A pullback toward our $1,218.21 base case would flip Valuation from a drag to neutral and likely lift the composite into the mid-70s. Conversely, any High-NA delay or China revenue loss would cut Forward Growth and Catalysts simultaneously.

Investment view: Hold, Valuation Concerns. The $1,241.80 blended target implies -20%, balancing the $1,002.06 / $1,218.21 / $1,528.72 Bear / Base / Bull outcomes.

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